



Modernizing the PMO Maturity Assessment

A guide to the next evolution in PMO Assessments



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Abstract

Executives who want to improve project performance must have a better method to assess their project management practices. Whether they have a formal PMO or not, these practices exist within their organization. Industry standard assessments focus on PMO consistency of process and do little to evaluate how project management improves the project success rates of an organization. They largely ignore organizational and operational culture and focus on PMO maturity as if there is a single, perfect, end-state for which all PMOs should strive; CMMI-like maturity standards, all areas – Level 5.

This paper presents an assessment model that goes beyond traditional PMO assessments and shows how to correlate strategy, operational maturity, and culture into one scalable and enduring assessment model. It works for any type of environment, including Waterfall, Incremental and Agile. It endures because it can be conducted periodically, as operations and business drivers change. Each assessment snap-shot becomes a plateau to build from. More importantly, it embraces the most important part of any organization... its people and how they work.

Every organization and the projects they launch are unique; therefore, the next evolution in PMO assessment models must embrace this uniqueness. The insights provided by this assessment model provide immediate options for action that range from strategic planning and re-alignment to tactical process changes that make project management more effective.

Introduction

Recent studies¹ performed by the Project Management Institute (PMI) indicate that another key to improving project success rates is the alignment of executive strategy with projects. This alignment isn't accurately captured using industry standard PMO Maturity models. Alignment can only be achieved once you implement project management processes that align with culture, project needs and the strategic plan.

In this paper, Think will explain how our assessment model provides a unique and more effective alternative to traditional PMO and ePMO assessment models. In the end, the final measure of project management practices should be based on how they improve your organization's project success rates.

One more critical note about culture...

"Culture eats strategy for breakfast."
(Peter Drucker)

Over the past decade, project failure rates have hovered around the 70% mark.

Regardless of the industry, organizations continually seek ways to improve their project success rate. While project management methodology, scope, and durations may vary, the expectations are the same: deliver results without unnecessary delays and costs.

Consequently, many companies try to improve their results by improving the maturity of their PMO. Additionally, many organizations have moved away from traditional Waterfall and embraced Agile software development practices. While this has helped, most projects encompass more than just, development and the industry still sees high project failure rates.

¹ PMI 2017 Pulse of the Profession 9th Global Project Management Survey

Culture can also interfere with operational changes. An organization's culture can have a profound impact on its people, processes, and outcomes. Often, there are unspoken cultural rules that directly control creative problem solving, collegiality, innovation, performance management, and many more facets of the organization. That's a core reason that many companies disband or reorganize their PMOs again and again. It's also the root cause for many failed projects, organizational change efforts, and initiatives.

The assessment model presented in this paper will provide a method for understanding the current state of a PMO and how well its efforts are aligned with organizational culture and operations. Plans being made to alter the services provided by a PMO, or operations in general, must be considered within the context of the culture that will be asked to adopt them.

Traditional PMO Maturity Assessments

Many firms conduct PMO maturity assessments based on traditional models. These models are an improvement over prior ones; however, Think believes that this assessment approach is seriously flawed, in that it focuses on consistency of management process and not on the operational effectiveness of project management.

While there have been some recent advances in the area of strategic alignment, they do little to consider the culture of the organization performing work. They overlook the simple fact that the organization must value the effort and product of project management activities, in order to deeply institutionalize them.

Consider the rate at which PMOs are created, disbanded, restructured, and moved from one executive's oversight to another. Consistency of process might play a role in keeping things together, but doing the right thing, in the right way, so that it is valued by the organization at all levels (which may have completely different value systems), is not accurately captured by traditional assessment models.

Traditional PMO assessment models, like the **Maturity Cube** and the **Crawford Model**, focus on assessing the management of the following areas:

1. Scope
2. Integration
3. Time
4. Cost
5. Quality
6. Human Resources
7. Communications
8. Risk
9. Procurement

In most cases, the assessment models determine maturity for these areas based on the CMMI model. They assess process maturity levels ranging from "does a process exist?" to "Is the process functioning at peak effectiveness and efficiency?"

Traditional Maturity Scale

- Level 1: Initial Process
 - Ad hoc processes
 - Management awareness
- Level 2: Structured Process and Standards
 - Basic processes; not standard on all projects; used on large, highly visible projects
 - Management supports and encourages use
 - Mix of intermediate and summary-level information
 - Estimates and schedules based on expert knowledge and generic tools
 - Project-centric focus

- Level 3: Organizational Standards and Institutionalized Process
 - All processes standard for all projects and repeatable
 - Management has institutionalized processes
 - Summary and detailed information
 - Baseline and informal collection of actual data
 - Estimates and schedules may be based on industry standards and organizational specifics
 - Organizational focus
 - Informal analysis of project performance
- Level 4: Managed Process
 - Processes integrated with corporate processes
 - Management mandates compliance
 - Management takes an organizational entity view
 - Solid analysis of project performance
 - Estimates and schedules normally based on organization specifics
 - Management uses data to make decisions
- Level 5: Optimizing Process
 - Processes to measure project effectiveness and efficiency
 - Processes in place to improve project performance
 - Management focuses on continuous improvement

Crawford Model PMO Maturity Scale

Think Effectiveness Assessment Model (TEAM)

The Think Effectiveness Assessment Model, called TEAM for short, accepts that every organization will have its own maximum effectiveness state that is as unique as its culture and its operational needs. There is no single perfect condition that looks like CMMI Level 5 across all PMO areas of focus. Many organizations may be far more effective at lower levels of maturity in specific areas of focus. **The key is to evaluate how PMO operations impact operational effectiveness, not consistency of PMO process.**

The TEAM expresses organizational uniqueness by developing a ‘fingerprint’ that represents how project management efforts are managed and how they enhance the effectiveness of projects in an organization. This fingerprint changes over time, just as business and operations change over time, and may even be different between divisions or groups within a single organization. For example: what is effective in a scaled Agile software development group is likely to be very different than what is effective in complex hardware manufacturing, though an enterprise PMO may be functioning across both.

The standard TEAM evaluates more than 20 common operational areas (or fingerprint nodes) of PMO and project management related activities. Additional nodes can be added for unique operational needs (e.g., standards and regulatory compliance). Each operational area will vary in importance to the organization, the amount of effort required, the maturity of project management methods employed and how they connect to other areas.

Once relevant operational areas are evaluated fully, TEAM provides the framework to help you recognize problem areas and the conditions causing them. Project management, organizational and operational experts can then focus on those areas to develop solutions for increasing effectiveness. Solutions may be designed to work within the context of your organization’s culture

or may recommend organizational change management initiatives to enable operational changes that are valued by the organization. The TEAM framework also provides the ability to prioritize operational areas based upon the anticipated positive impact that solutions can have on the organization. Through this systematic and thoughtful process, you can identify options that are appropriate and consumable by your organization. Simply put, project management processes must be aligned with cultural and operational needs of the organization. Implementing project management practices that the organization places little value in are destined to be resisted. This is where many PMOs fail.

TEAM Basic Operational Areas (Nodes)



One of the key features of the TEAM is that it scales in both breadth and depth to accommodate specific needs. Expand or narrow the operational areas considered and you manage the breath of the assessment. Expand or narrow the scope and methods used to collect operational/organizational data and you manage the depth of the assessment.

Through the fidelity and perspectives provided by TEAM, problem areas are more easily identified and options for action can be planned to address them. At a minimum, you will be able to rationalize and provide evidence that supports planning and budgeting of change efforts.

Interview-Based Assessment Process

To determine an organization's project management fingerprint, Think uses an audit model that relies on layered interviews and artifact analysis to conduct TEAM assessments. This process requires us to conduct interviews at multiple operational levels, capture key observations made throughout the interviews and to collect and study artifacts that prove or disprove interview

observations. After interview and artifact analysis is complete, we apply grading to each of the nodes and develop the unique fingerprint for review with organization's leadership.

The first step in the assessment is to interview individuals within the organization that are involved with the PMO and management of projects. Typically, these are one hour in duration with individuals chosen by the organization's PMO director or steering committee to provide their perception of the operational areas in the organization.

Secondly, we interview project team leads who are not involved in the PMO to develop a perspective of what is valued by the people doing the work. Inefficient or ineffective project management activities are easily identified in these interviews.

Lastly, we interview executive management from the highest levels in the organization to operational/divisional leaders. What these executives believe is most critical to operations and what they value may differ greatly from the operational teams. Using the TEAM interview process in this way, provides an opportunity to identify disconnects within an organization. This is where we look into alignment of strategic vision, operational effectiveness, and the value that project management activities provide the organization from an executive perspective.

The interviews take the form of a one-on-one conversation with the interviewee, guided by a battery of questions that we have developed, to learn about specific aspects of effectiveness related to project management. Not every individual will be asked every question, nor will every individual be asked the exact same questions. Nodes representing operational areas that are perceived as needing improvement will be addressed with the majority of the interviewees.

The goal is to address as many questions and nodes throughout all the individual interviews. Answers remain disassociated from the interviewee to facilitate a level of anonymity. Then, all responses to the employee interviews are compiled and reviewed.

Expert analysis of the findings is conducted and options for performance enhancement are developed. Think's analysis review team includes an Executive Advisor and former CIO, an Operations Executive and former COO, the TEAM's creator and a Strategic Project Manager. The review considers project artifacts and supporting and related documentation, as well as discussions to validate and challenge our assumptions, refine our understanding, assess culture and cultural constraints, and understand cultural impacts on the nodes.

You will note some similarities between our nodes and traditional assessment categories like those used in the **Maturity Cube** and the **Crawford Model**.

Category names may be similar; however, descriptions differ due to our focus on how each area of project management impacts the operational effectiveness of the organization.

To conclude the assessment, we draft a final report including options for achieving more project management effectiveness in ways that do not challenge the existing culture (optimizing), moderately challenge culture (incremental culture shifting), or represent a significant break from existing culture (jarring, big, and expensive). These reports are quite dense and we've found that presenting the findings to executives in a condensed and action-oriented briefing is essential.

Node Evaluation

Each node is evaluated individually to create the organization's overall unique fingerprint. The factors evaluated are importance, effort, maturity, impact and connectivity or relations. Each factor has a unique method of grading and has a direct effect on how the node is presented within the fingerprint.



Example: Organizational Change Management Node Summary Diagram

Reading the Node Summary diagram from left to right, there are 3 columns:

1. Current – the assessed state of the node. This example shows that Organizational Change Management was assessed as being:
 - a. considered of low **importance** to operations (Level 3 – in upper right-hand triangle);
 - b. having a small amount of **effort** being expended on it (top bar with short fill);
 - c. consisting of relatively **mature** methods and processes (second bar with moderate fill)
 - d. with low **cultural alignment** (third bar with short fill); and
 - e. when addressed, could have a high level of **impact** (bottom bar with full fill).
2. Target – shows the anticipated or possible future state of the node, after recommended changes are implemented. In this example, we would expect that Organizational Change Management would become highly **important** to PM operational effectiveness (Level - 1); that it would require significantly more **effort**; thereby leveraging the relatively **mature** methods and processes that are in place; reducing the **impact** that additional changes would have.
3. Super Connections – shows other nodes that are significantly impacted by the current node. In this case, we have assessed Organizational Change Management to have a significant relationship to Active Project Management and Governance.

Sample Fingerprint



Node Evaluation Factors

Importance

This factor captures how “important” each of the nodes are to your organization’s operations. There are three levels in which nodes are categorized. They are based on the policies and procedures that are in place and that are used to effectively manage projects. We typically see assessments that have 5-7 nodes as Core, 10+/- as Secondary and the remaining being Tertiary; however, every organization is unique and nodes may be distributed across these levels in a wide variety of ways.



- **Level 1 (Core)** - represents the highest importance and is a key principle or high priority within the PMO or organization. These are considered basic fundamentals in the organization and require individuals to follow them to provide a desired result or interaction between individuals for the project.
- **Level 2 (Secondary)** – represents a process that is considered important to daily operations but is not necessarily required to achieve success. Nodes in this category are still considered fundamental but can be circumvented or considered optional when needed, depending on the project or customer.
- **Level 3 (Tertiary)** – represents a process that is not considered essential to the success of the project or the needs of the customer, however it still may be mature and a process that adds value.

Effort

The top bar on a Node diagram containing a fill that represents the amount of effort the organization expends on the node. Effort is a relative measure and every organization will have their own. There are three levels in which nodes are sized:

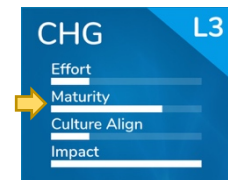
- Small (size 1) representing little effort
- Medium (size 2) representing an average effort
- Large (size 3) representing a large effort.



Maturity

The second horizontal bar containing a fill that represents the assessed level of maturity. Based on the overall maturity of the node or process itself, the bar will be filled at one of the following values:

- **0%** - Represents a lack of maturity for the specified node and any level of process added can be considered an improvement.
- **25%** - Represents a process is present but it is comprised of gaps leaving areas for risk and can easily be improved upon.
- **50%** - Represents an average process maturity level that is par for the course. There are areas of risk within the process and there is room for improvement, but overall the process may be considered sufficient depending on the organization's needs.
- **75%** - Represents an above average maturity level with few gaps, leaving little room for risks to break the process.
- **100%** - Represents a complete and mature process with little if any gaps, and little to no risk involved.



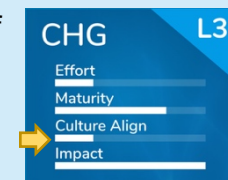
Cultural Alignment

The third horizontal bar containing a fill that represents the assessed level of cultural alignment.

Culture, as defined by the brilliant MIT-professor emeritus Edgar Schein is “a pattern of shared basic assumptions learned by a group as it solved its problems of external adaptation and internal integration.”² In other words, the assumptions that make up a culture map out critical challenges to change recommendations. Assumptions create perceived limits, barriers and walls around how work, and projects, are executed. Therefore, assessing culture is critical to successful PMO operations.

Our assessment is conducted at a more targeted level. We assess the value perceived by the members of the organization when implementing project management activities for each node in our model.

Alignment, or misalignment, becomes obvious when considered at this level. If the culture assumes value in project management activities associated with a node, then we consider the



² Schein, Edgar H. (2010-07-16). Organizational Culture and Leadership (The Jossey-Bass Business & Management Series) (Kindle Locations 589-592). John Wiley and Sons. Kindle Edition.

node well-aligned. Once we understand how well each node aligns, options for making the node more effective become easily recognizable. Misalignment may require modifying project management activities so the culture views them as valuable. It may also require modifying the culture so it recognizes the value provided (much more nuanced but often needed).

There is also the option to enforce project management activities that the organization does not find valuable, but that requires constant expenditure of resources and should only be seen as a short-term strategy. Our assessment model expresses the Cultural Alignment of project management activities for each node using the values:

- **0%** - The organizational culture sees no value at any level for the PM activities associated with the node. This is complete misalignment.
- **25%** - The organizational culture sees little value for the PM activities associated with the node. Because benefit can be viewed differently at different levels in the organization, this may be used to signify only partial alignment.
- **50%** - The organizational culture sees moderate value for the PM activities associated with the node. Because benefit can be viewed differently at different levels in the organization, this may be used to signify only partial alignment.
- **75%** - The organizational culture sees good value for the PM activities associated with the node. Because benefit can be viewed differently at different levels in the organization, this may be used to signify partial misalignment.
- **100%** - The organizational culture highly values the PM activities associated with the node.

Impact

The bottom horizontal bar containing a fill that represents the assessed level of impact that could be realized once solutions linked to this node are implemented. Impact does not include how difficult or time-consuming changes might be, only how impactful solutions related to the node could be to operational effectiveness. The scale provides levels that can be used to establish priority for planning and has 4 levels:

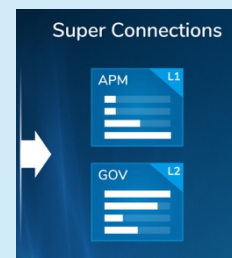


- **(1) Insignificant** – Impact would be negligible.
- **(2) Minor** – Impact would be small but noticeable.
- **(3) Moderate** – Impact would be significant and should be addressed.
- **(4) Major** – Impact would be substantial and must be addressed.

If you identify a node with a high impact and the solution developed can be implemented quickly or with a relatively small amount of effort, you have identified a quick win (sometimes referred to as low-hanging fruit). The TEAM is particularly good at helping you identify these opportunities.

Connectivity

Refers to the direct relations or “super-connections” to other nodes. Each node has a cause-and-effect relationship with other nodes within the project management environment. Improvements or changes to related nodes can directly impact and help improve effectiveness in the overall process. The super-connections will be represented in the node-by-node assessment details.



Business Benefit

Having the ability to see how project management practices are helping with the success of projects is of critical importance. It's all about effectiveness. The model presented in this paper goes beyond traditional PMO assessments and provides a new method for evaluating how your organization's project management practices are matched to its culture and to operational effectiveness.

Given the insight provided by the TEAM, areas of misalignment or weakness become obvious and plans can be made to address them. The TEAM provides the necessary fidelity to map findings, rationale and artifact evidence to plans for change. Priority and budgeting becomes less like guess work and after-action impacts on the organization and its effectiveness become reportable using the same model.

At the end of the day, you need a PMO assessment that helps you answer **"yes"** to these questions:

1. Will the assessment accurately reflect our current state?

- The TEAM fingerprint presents a detailed, customized view of your organization. This simple, yet comprehensive, model will help you challenge your assumptions and correlate collected evidence, so you can provide proof for your findings. The TEAM Interview-Based Assessment Process provides a thorough and collaborative approach, which ensures you receive an assessment that accurately reflects your organization.

2. Will we be able to address the gaps quickly?

- The TEAM helps you identify solutions that are designed to work within cultural constraints rather than compete with organizational culture. Because you can identify immediate and significant opportunities, you can address gaps quickly and with more confidence that changes will be adopted.
- Solutions are created with full view of your strategic objectives, thereby helping you secure senior executive buy-in. Reducing the time that is sometimes dedicated to consensus-building allows for faster implementation of the solutions.

3. Will addressing the gaps significantly improve our performance and contribution to the organization?

- The TEAM focuses on operational effectiveness. It doesn't push you to achieve maximum maturity for every node. Sometimes processes operating at, say 50% maturity are performing exactly where the organization needs them to be. The TEAM incorporates the strategic and cultural components into the assessment; therefore, it helps you see where effort may be better spent improving other nodes.
- The TEAM provides a method for focusing on results that yield the highest return based on the effort spent.
- Organizational culture misalignment with project management practices and even corporate strategy will often degrade a solution's positive impact on an organization. The TEAM recognizes cultural alignment as a primary factor in analysis and planning.

Summary

Executives who want to improve project performance must have a better method to assess their project management practices. Industry standard assessments that focus on consistency of process, rather than how project management activities make their organizations more effective, are incomplete at best. Whether an organization has a formal PMO or not, these practices exist. The assessment model presented in this paper, the TEAM (Think Effectiveness Assessment Model), provides a simple, scalable and enduring solution that goes beyond traditional PMO assessment models, like the Crawford Model and the Maturity Cube. TEAM can be abbreviated by removing tertiary nodes from the assessment or expanded by adding your own nodes and it can be replicated where cultural and operational differences exist within an organization. The results produced by this assessment model provide a clear correlation between:

- organizational culture(s),
- executive strategic planning,
- maturity of project management practices, and
- the operational effectiveness (or not) that is produced by them.

Options to improve effectiveness become readily apparent and are easily justified by leveraging the fidelity of information provided by this assessment model.

Try it! Run a Fast-Track Assessment using TEAM. Compare it to traditional models and focus on operational effectiveness. List and organize (core, secondary, tertiary) the nodes listed in this model and begin collecting information that helps you determine what values you place on the factors for each node. Download the [TEAM Fast-Track Assessment](#) spreadsheet and give it a go!

As true practitioners who provide consulting expertise to the C-suite and PMOs, we love to talk shop with anyone who shares our passion for effectiveness. If you want to learn more about conducting a TEAM Fast Track Assessment or if you are considering the Interview-Based Assessment Process, please email [Jeff Welch](#) to learn more.

Remember:

Culture eats strategy for breakfast... so don't plan blindly.

[Think](#) is only a phone call or quick email away. We appreciate feedback on our TEAM and constantly endeavor to make it more valuable to the organizations who use it.

Experience and Qualifications

Think is a team of executive advisory consultants with substantial experience in and around the C-suite. The PMO assessment model presented in this white paper is the result of years of operations and project management consulting expertise, book and professional paper authorship, and the creation of our own style of effectiveness-focused project management. Tony Gruebl and Jeff Welch are principles of Think and co-authored ***Bare Knuckled Project Management (BKPM): How to Succeed at Every Project***, which has over 15,000 copies in circulation.

Think's project management success comes from using the most direct and effective strategies and management principles needed to guide and execute operations and projects. What is needed changes with each engagement and we must provide commensurate value to the organization we support. It's just part of being successful consultants.

Think provides PMO development and coaching services to a wide variety of organizations, performing a wide variety of work. We have worked with over 200 organizations over the last 15 years. This diversity and the absolute need to be successful consultants has led us to not only incorporate, but move beyond, industry standard practices like those contained in the Project Management Body of Knowledge (PMBOK).

We have learned that there are cultural and operational limits to effectiveness that must be considered when establishing PMO governance models, services and frameworks. Learning how an organization operates and how a PMO supports it, is often our first task. Also key, is understanding that we are rarely asked to simply assess a PMO.

As consultants, we must provide value by tying the assessment to well-targeted recommendations that enhance the performance of a PMO. Once initial recommendations are addressed, the organization and PMO practices that impact operations are re-evaluated, which in turn creates new options for PMO improvement. This approach is incremental and constantly adjusts to change. It is more of a Lean-Agile approach to PMO development than Waterfall and it works!

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[Jeff Welch](#) is Vice President of Think, heads our BKPM Products team and is coauthor of ***Bare Knuckled Project Management (BKPM): How to Succeed at Every Project***, available on [Amazon](#) and [Smashwords](#). He is a technical executive, specializing in the use of technology to deploy training, simulations, and performance-enhancing information systems. He is a solution architect with twenty-three years of broad-based expertise in project management, information systems design and development, and specializes in fields associated with expert system performance support and the e-Learning industry.



[Dale Matthews](#) is a Senior Executive Advisor at Think. He brings a unique combination of experiences to our Executive Advisory practice. With 22+ years of successful leadership experience in the private sector (Fortune 50 companies), state government, and higher education, he has a deep understanding of a broad range of organizational cultures. In addition to his previous Chief Information Officer role, Dale has worked in operations and project management.

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Special thanks to Brent and Heidi for their contributions on culture to this whitepaper.

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